## 27 Financial risk management (continued)

The table below presents the Group's financial assets and liabilities recognised at fair value:

| £m | | 2019 | 2018 |
|---|---|---|---|
| **Financial assets** | | | |
| Level 1 | Other investments – fair value through other comprehensive income | – | 8.9 |
| Level 2 | Derivative financial instruments – fair value through profit or loss | – | 4.7 |
| Level 3 | Other investments – fair value through other comprehensive income | – | 1.6 |
| **Total financial assets** | | – | 15.2 |
| | | | |
| **Financial liabilities** | | | |
| Level 1 | Convertible bonds – designated as at fair value through profit or loss | **(254.9)** | (314.9) |
| Level 2 | Derivative financial instruments – fair value through profit or loss | **(285.5)** | (285.2) |
| **Total financial liabilities** | | **(540.4)** | (600.1) |

### Fair value hierarchy

Level 1: Valuation based on quoted market prices traded in active markets.

Level 2: Valuation techniques are used, maximising the use of observable market data, either directly from market prices or derived from market prices.

Level 3: Where one or more significant inputs to valuation are unobservable. Valuations at this level are more subjective and therefore more closely managed, including sensitivity analysis of inputs to valuation models. Such testing has not indicated that any material difference would arise due to a change in input variables.

Transfers into and transfers out of the fair value hierarchy levels are recognised on the date of the event or change in circumstances that caused the transfer. There were no transfers between Levels 1, 2 and 3 during the year.

Valuation techniques for Level 2 hierarchy financial assets and liabilities are presented in the accounting policies.

### Capital structure

The Group seeks to enhance shareholder value both by investing in the business so as to improve the return on investment and by managing the capital structure. The capital of the Group consists of equity, debt and a compound financial instrument. The Group aims to access both debt and equity capital markets with maximum efficiency and flexibility.

The key metrics used to monitor the capital structure of the Group are net external debt, debt to assets ratio and interest cover. The Group's stated medium to long-term preference is for the debt to assets ratio to be within the 40–50 per cent range and interest cover to be greater than 1.60x. The debt to assets ratio has increased to 67.8 per cent in the year due to the deficit on property revaluation. As part of the revised strategy, the Group is looking to reduce net external debt as well as reduce the debt to assets ratio to below 50 per cent. Additional information on the Group's revised strategy is provided in the chief executive's review on pages 6 to 8. The interest cover ratio continues to be above the preferred level.

As the Group's debt is sometimes secured on its interests in joint ventures, these metrics are monitored for the Group including share of joint ventures. Additional information including reconciliations from the relevant IFRS amounts to those including the Group's share of joint ventures as presented below is provided in presentation of information on pages 157 to 161.

– net external debt

| £m – including Group's share of joint ventures | Group 2019 | Group 2018 |
|---|---|---|
| Total borrowings | **4,916.8** | 5,331.0 |
| Cash and cash equivalents | **(223.0)** | (274.3) |
| **Net debt** | **4,693.8** | 5,056.7 |
| Less Metrocentre compound financial instrument | **(195.4)** | (189.5) |
| **Net external debt** | **4,498.4** | 4,867.2 |
| **Analysed as:** | | |
| Debt including Group's share of joint ventures | **4,721.4** | 5,141.5 |
| Cash including Group's share of joint ventures | **(223.0)** | (274.3) |
| **Net external debt** | **4,498.4** | 4,867.2 |